

Micron Technology, Inc.

MU NASDAQ

Buy	\$973.43 ▼ 0.41%	12M Price Target \$1150.00	52-Week Range \$153.21 – \$1255.00	Market Cap \$1.10T
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MU: AI Memory King Cools After Monster Run

WHAT HAPPENED

- MU is down about 4% on the week and slipped again today to \$973 — this looks like normal profit-taking after a jaw-dropping run (stock is up ~6x from the 52-week low of \$153). Nothing broken in the story; just people locking in gains ahead of next week's earnings.
- The Taiwan labor story (GuruFocus) is the sneaky-important one — labor pressure at Taiwan fabs means TSMC and memory rivals face rising costs, which actually helps Micron's relative position since they're building out US capacity with government subsidies.

WHY IT MATTERS

Here's the thing to internalize: MU isn't a normal memory stock anymore — it's an AI infrastructure stock wearing a memory company's clothes. High-bandwidth memory (HBM — the stacked chips that sit next to Nvidia's GPUs) is sold out through 2027, and Micron is one of only three suppliers globally. The pullback this week is technical, not fundamental — options flow shows heavy call buying at \$980 (31x normal open interest), meaning big money is betting the dip gets bought. What to watch: if next week's earnings guide HBM revenue higher again, this thing re-rates through \$1,100 fast; if they hint at any pricing softness, the "memory is cyclical" bears come out swinging and we could see \$900.

POLICY & POLITICAL WATCH

Micron is arguably the single biggest corporate winner of the CHIPS Act — they've been awarded roughly \$6.1B in direct grants to build fabs in Idaho and New York, and the current administration has doubled down on domestic semiconductor manufacturing as a national security priority. The Section 301 tariffs on Chinese-made chips (raised to 50% earlier this year) directly kneecap Chinese memory competitor CXMT, essentially handing Micron pricing power in North American markets. Watch for the rumored expansion of export controls on HBM to China in Q4 — counterintuitively that's a mild negative (loses some revenue) but a bigger positive (tightens global HBM supply, boosts prices).

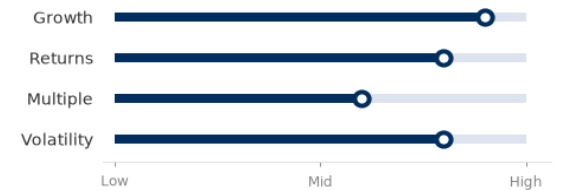
IS IT EXPENSIVE?

At ~\$973 and roughly 78x forward earnings, MU looks expensive at first glance — investors are paying \$78 for every \$1 the company is expected to earn next year. But memory is a cyclical business, and analysts have been way behind on estimates all year; if HBM demand keeps compounding, the forward P/E collapses to something like 50x on FY27 numbers, which is reasonable for a company doubling AI-related revenue. Compared to Nvidia at ~40x and SK Hynix at ~15x, Micron sits in the middle — pricier than Korean peers because of the US manufacturing/policy premium, cheaper than the picks-and-shovels king.

Key Data

Price (USD)	\$973.43
12M Price Target	\$1150.00
Upside / (Downside)	+18.1%
Market Cap	\$1.10T
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$12.40
FY2027E EPS	\$18.75
Fwd P/E	78.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1100.00	\$1000.00	\$900.00
6 Months	\$1300.00	\$1150.00	\$850.00
1 Year	\$1500.00	\$1200.00	\$800.00
2 Years	\$1800.00	\$1400.00	\$750.00
5 Years	\$2500.00	\$1700.00	\$600.00
10 Years	\$4000.00	\$2200.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+1.39% today) is leading again as CPI data came in benign and rate-cut hopes are back on the table — that's rocket fuel for high-multiple names like MU. AI infrastructure specifically is heating up as hyperscaler capex guides keep going up-and-to-the-right.

COOLING OFF: Financials and Consumer Discretionary have been weak on the week — classic sign money is rotating OUT of rate-sensitive and cyclical consumer names INTO secular growth (AI).

ROTATION WATCH: Money is flowing from "rate-cut beneficiaries" into "AI beneficiaries" — that's a direct tailwind for MU. The 5-day sector picture shows tech is the only major sector positive, which tells you where the smart money conviction is.

RELATED PLAY: If you believe the HBM story, the second-order plays are the equipment makers (Applied Materials, Lam Research) who sell the tools Micron needs to build these fabs — they get paid regardless of who wins the memory war.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI king — every dollar of HBM Micron sells basically goes into a Nvidia GPU, so they move together.
- AVGO (Broadcom): Custom AI silicon story keeps compounding — hyperscalers building their own chips still need Micron's memory.

MU CONTEXT: MU has actually been LEADING the semi group for months (up ~6x from lows vs. Nvidia's ~2x from lows), which is why this pullback is healthy — the stock got ahead of itself and needs to digest gains before the next leg. Leading stocks that consolidate for 2-3 weeks after huge runs typically resume the trend.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$920-960 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing cracks or Samsung/SK Hynix takes major share from Micron at Nvidia

Hedging: Pair with a short on a lagging memory peer or buy protective puts on SOXX